

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



FINANCIAL SUPERVISION
OF THE ROAD ACCIDENT FUND ACT NO. 8 OF 1993

Addressee:	Road Accident Fund		File:	10.15.6.3.1 & 10.15.6.4	
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Subject:	APPLICATION OF THE SHORT-TERM INSURANCE ACT NO. 53 OF 1998 TO THE ROAD ACCIDENT FUND AND MATTERS RELATED TO THE IMPLEMENTATION OF CERTAIN PROVISIONS OF THE FINANCIAL SUPERVISION OF THE ROAD ACCIDENT FUND ACT				

1. PURPOSE OF THIS DIRECTIVE

This Directive, in accordance with section 2 of the Financial Supervision of the Road Accident Fund Act No. 8 of 1993 (FSRAF Act), –

- 1.1 determines which provisions of the Short-term Insurance Act No. 53 of 1998 (STI Act), applies to the Road Accident Fund (RAF);
- 1.2 determines the extent to and the manner in which the provisions of the STI Act, referred to under paragraph 1.1 above, applies to the RAF; and
- 1.3 provides for matters related to the implementation of certain provisions of the FSRAF Act.

2. APPLICATION OF THE STI ACT

2.1 Legislative framework

Section 2(1) of the FSRAF Act provides as follows:

“(1) Subject to any directions of the executive officer¹, the provisions of the Insurance Act,

¹ The executive officer is defined in the FSRAF Act as the executive officer of the Financial Services Board appointed under section 13 of the Financial Services Board Act, 1990 (Act No. 97 of 1990).

1943 (Act No. 27 of 1943)², in relation to an insurer registered in terms of that Act to carry on short-term insurance business, shall apply to the Fund.”

2.2 Provisions that apply to the RAF

The executive officer of the Financial Services Board (FSB), recognising that not all the provisions of the STI Act can or should apply to the RAF, hereby, under section 2(1) of the FSRAF Act, directs that the following provisions of the STI Act apply to the RAF, with the necessary changes. The sections of the STI Act not listed below do not apply to the RAF:

2.2.1 Introductory provisions: Definitions - Section 1(1);

2.2.2 Part I: Administration of the Act (sections 2, 3 and 4): These sections relate to the general and specific provisions concerning the Registrar of Short-term Insurance and his/her powers;

2.2.3 Part III: Business and administration of short-term insurers (sections 16, 17, 18, 19, 19A, 20, 21 and 22): These sections relate to –

- the appointment of various roles within the RAF such as the appointment of a public officer, auditor, statutory actuary, directors and managing executives; and
- the removal of appointees who are not fit and proper;

2.2.4 Part IV: Financial arrangements (sections 28, 29, 30, 31, 32 and 35): These sections relate to requirements relating to assets, liabilities, spreading of assets and financial soundness, and reporting; and

2.2.5 Part IX: Offences and penalties (section 66): This section relates to penalties for the failure to furnish returns, information and the like within specified periods.

2.3 Extent to and manner in which provisions apply to the RAF

2.3.1 This Directive, in addition to the FSRAF Act and the STI Act, must be read with the –

- Road Accident Fund Act No. 56 of 1996 that regulates the governance and operations of the RAF;
- Public Finance Management Act No. 1 of 1999 that regulates the financial management of the RAF as a public entity; and

² This Act was replaced by, *inter alia*, the Short-term Insurance Act, 1998 (Act No. 53 of 1998). The Interpretation Act No. 33 of 1957, in section 12, provides that where a law repeals and re-enacts with or without modifications, any provision of a former law, references in any other law to the provision so repealed shall be construed as references to the provision so re-enacted.

- Public Audit Act No. 25 of 2004 that regulates auditing matters relating to the RAF.

2.3.2 In the event of a conflict between the provisions of the STI Act identified under paragraph 2.2 and the Acts referred to under paragraph 2.3.1 the latter Acts apply.

2.3.3 In assessing the viability and sustainability of the RAF and its compliance with the provisions of the STI Act identified under paragraph 2.2 consideration will be given to the status and nature of the RAF as a public entity that is fundamentally a social security fund.

In assessing the the RAF's compliance with the prudential requirements of the STI Act, consideration will be given to the fact that –

- the RAF's business model is not based on insurance principles as the premium payable (in this case the fuel levy) does not directly correlate to the benefits provided; and
- the National government is the RAF's insurer of last resort.

The valuation of assets and liabilities of the RAF will be addressed in broad terms based on accounting and actuarial standards rather than statutory requirements.

2.3.4 Where other Acts of Parliament (including the Acts referred to under paragraph 2.3.1 above) afford a Minister or another public entity the authority to make or terminate an appointment which is similar to an appointment that, under the STI Act, is subject to the approval of the Registrar³ or must be terminated if the Registrar so directs, the Registrar will not approve or direct the termination of such an appointment, but will only advise the relevant Minister or organ of state, as the case may be, on making or terminating such an appointment.

2.3.5 The FSB will not enforce compliance by the RAF with the identified provisions of the STI Act, save for imposing a penalty for the failure to furnish a return, information and the like within the specified period (or any extension thereof) under section 66 of the STI Act. Where the RAF fails to comply with the applicable provisions of the STI Act, the Registrar –

- will refer such non-compliance and recommend corrective actions to the RAF's accounting authority, executive authority and /or senior management (as defined in the Public Finance Management Act), the National Treasury, Parliament and/or any other oversight, supervisory or enforcement institution as the Registrar deems appropriate; and
- may undertake such monitoring activities as the Registrar deems appropriate.

³ The Registrar is defined under the STI Act as the executive officer or deputy executive officer of the Financial Services Board.

3. IMPLEMENTATION OF THE FSRAF ACT

3.1 Legislative framework

Section 2(2) of the FSRAF Act provides as follows:

“(2) The Fund shall furnish to the executive officer such returns as may by virtue of the provisions of subsection (1) be required by the executive officer.”

Section 3 of the FSRAF Act provides as follows:

“The returns mentioned in section 2(2) may include returns as from a date determined by the executive officer in respect of—

- (a) the assets and liabilities in respect of any business carried on by the Fund before the said date; and*
- (b) the assets and liabilities in respect of any new business carried on by the Fund after that date.”*

Section 4 of the FSRAF Act provides as follows:

“The executive officer shall within six months after the end of every financial year of the Fund submit a report on the business of the Fund carried on during the financial year concerned to the Minister, and the Minister shall within 14 days after receipt of such submission lay the report upon the Table in Parliament, if Parliament is then in session or, if Parliament is not then in session, within 14 days after the commencement of its next ensuing session.”

3.2 Quarterly and annual statutory returns

(Sections 2(2) and 3 of the FSRAF Act read with section 35 of the STI Act)

3.2.1 The RAF must submit unaudited quarterly returns (signed by the public officer of the RAF) and an audited annual return to the executive officer of the FSB.

3.2.2 The executive officer shall inform the RAF -

- of the medium and form in which the returns must be submitted;
- what information must be contained in the returns; and
- by which date each return must be submitted.

3.3 Annual report

(Section 4 of the FSRAF Act)

The report referred to in section 4 of the FSRAF Act will express the executive

officer's view on the viability and sustainability of the RAF drawing on the outcomes of the supervisory approach referred to in paragraph 4 and any actuarial evaluations undertaken by or on behalf of the FSB.

4. SUPERVISORY APPROACH

4.1 In supervising the RAF the executive officer of the FSB will implement a risk-based supervisory approach. This approach focuses on –

4.1.1 identifying significant risks and assessing the quality of risk management practices to allow for the early identification of matters that require supervisory attention and remediation; and

4.1.2 requiring the RAF to effectively manage its risks.

4.2 In addition to paragraph 4.1, the Registrar will ensure that there is an ongoing assessment of the financial position of the RAF, including the actuarial valuation of the RAF's liabilities and funding needs, in order to assist the National Treasury in evaluating the fiscal impact and potential future fiscal impact of the RAF, and advise the executive authority and the Minister of Finance accordingly.

4.3 This approach will be supported by –

4.3.1 regular meetings with the key staff, management, board of directors and the appointed auditors and actuary of the RAF;

4.3.2 ongoing contact with key management within the RAF;

4.3.3 on-site visits to the RAF;

4.3.4 regular reporting;

4.3.5 inspections; and

4.3.6 additional assessment, reporting and information requests, when required.

5. AVAILABILITY OF THIS DIRECTIVE

This Directive is available on the website of the Financial Services Board (www.fsb.co.za). The RAF must bring this Directive to the attention of its appointed auditors and actuary.



D P TSHIDI
EXECUTIVE OFFICER OF THE FINANCIAL SERVICES BOARD